

Cyclical dislocation at ~\$100 sets up a contrarian overweight case grounded in cash flows, DCF, and comps

- **Guidance Shock:** Post-cut panic drove LULU to ~\$100 despite a long track record of double-digit revenue growth [1]
- **NOPAT Bridge:** Revenue and margin drivers isolate durable cash generation beneath headline volatility [2]
- **Valuation Stack:** 9.0% WACC base-case DCF anchors \$133.64 target with bear/bull brackets [3]
- **Risk / Reward:** Football field and comps frame asymmetric re-rating vs. downside floor [1][3]

Links & Sources

- [1] TIKR — LULU guidance-cut selloff: <https://www.tikr.com/blog/lululemon-stock-crashed-17-on-friday-the-guidance-cut-was-the-real-story>
- [2] Lululemon Q2 FY2026 supplement: <https://corporate.lululemon.com/~media/Files/L/Lululemon/investors/results-center/q2-2026-financial-supplement.pdf>
- [3] Valuation model: LULUMODEL18.xlsx

Guidance reset created a cyclical entry; fundamentals remain intact at double-digit margins

- **Post-Cut Trough:** FY26 guidance cut catalyzed a ~50% drawdown to ~\$100/share entry [1]
- **Disproportionate Reaction:** Street penalized a 5–7% revenue guide cut vs. historical double-digit CAGR [2]
- **Cash Flow Durability:** Clean run-rate operating margin holds at **13.2%** post tariff adjustments [3]
- **Positioning:** Setup favors long-duration holders into FY27–FY28 estimate stabilization [1][3]

Links & Sources

- [1] TIKR — LULU guidance-cut selloff: <https://www.tikr.com/blog/lululemon-stock-crashed-17-on-friday-the-guidance-cut-was-the-real-story>
- [2] Lululemon Q2 FY2026 guidance release: <https://corporate.lululemon.com/~media/Files/L/Lululemon/investors/results-center/q2-2026-financial-supplement.pdf>
- [3] Valuation model: LULUMODEL18.xlsx

*Consensus capitulated on guidance; price targets cut sharply
while balance-sheet quality was ignored*

- **Morgan Stanley:** Cut 2026 revenue outlook to **\$10.35B** with a sharply negative post-release stance [1]
- **Consensus PT Reset:** Street target reduced **\$176 → \$136** as cyclical fears dominated the narrative [2]
- **Neutral Holdouts:** BTIG **Neutral** underscores tactical caution, not structural brand impairment [3]
- **Contrarian Window:** Sentiment trough historically precedes multi-quarter estimate stabilization [2][3]

Links & Sources

- [1] MarketBeat — Morgan Stanley pessimistic LULU forecast
- [2] Simply Wall St — LULU consensus price target history
- [3] GuruFocus — BTIG Neutral reiteration

\$133.64 base DCF supports overweight; margins, WACC discipline, and China offset Americas softness

- **Base Case Target:** DCF implies **\$133.64/sh** (+**33.6%** vs. ~\$100) on published assumptions [1]
- **Pillar I — Margin Quality:** **13.2%** clean run-rate EBIT after normalizing tariff refunds [2]
- **Pillar II — Discount Rate:** **9.0% WACC** caps terminal growth at **2.3%** [3]
- **Pillar III — Geo Mix:** **+4%** China Mainland growth offsets near-term North America stagnation [4]

Links & Sources

- [1] LULUMODEL18_3.xlsx — base-case implied value
- [2] <https://corporate.lululemon.com/~media/Files/L/Lululemon/investors/results-center/q2-2026-financial-supplement.pdf> — 13.2% margin bridge
- [3] LULUMODEL18_3.xlsx — WACC & revenue drivers
- [4] <https://corporate.lululemon.com/~media/Files/L/Lululemon/investors/results-center/q2-2026-financial-supplement.pdf> — international segment growth

Americas still ~71% of revenue, but China growth provides the offset to domestic comp softness

- **Revenue Scale: \$11.1B** FY25 revenue; Americas **\$7.85B (70.7% of mix)** [1]
- **Americas Pressure:** Comparable sales **-3%** — cyclical macro, not structural brand erosion [2]
- **China Offset:** Mainland China **+20%** to **\$1.75B**, validating international growth engine [3]
- **Model Implication:** FY26–30 build leans on China store adds and comps to bridge Americas drag [3]

Links & Sources

- [1] FY2025 10-K segment disclosure: <https://corporate.lululemon.com/~media/Files/L/Lululemon/investors/results-center/q2-2026-financial-supplement.pdf>
- [2] FY2025 10-K Americas comparable sales: <https://corporate.lululemon.com/~media/Files/L/Lululemon/investors/results-center/q2-2026-financial-supplement.pdf>
- [3] LULUMODEL18.xlsx — China Mainland revenue build

Premium DTC mix sustains best-in-class margins and capital efficiency vs. wholesale peers

- **Gross Margin Moat: 56.6%** gross margin — structural premium vs. athletic apparel peers [1]
- **E-Commerce Economics:** DTC e-commerce EBIT margin **23.6%** without retail occupancy drag [2]
- **Store Productivity: \$1,426** sales per sq. ft. at **18.6%** store EBIT margin [3]
- **Capital Efficiency:** High-margin, asset-light mix supports FCF conversion through the cycle [1][3]

Links & Sources

- [1] LULUMODEL18_6.xlsx — gross margin assumptions
- [2] LULUMODEL18_6.xlsx — e-commerce EBIT driver
- [3] LULUMODEL18_6.xlsx — store EBIT & SPSF

Fragmented athleisure TAM with premium barriers; scale winners compound ROE through cycles

- **Market Structure:** Global athleisure remains fragmented — few operators earn durable excess returns [1]
- **Premium Barriers:** Brand, DTC scale, and product IP protect leaders from cyclical noise [2]
- **ROE Proof Point:** LULU **30.3% ROE** vs. retail median **6.8%** [3]
- **Implication:** Cyclical drawdowns in premium leaders historically precede estimate recovery [1][3]

Links & Sources

- [1] Market.us — athleisure fragmentation data
- [2] Fortune Business Insights — premium athleisure trends
- [3] FinanceCharts — LULU ROE vs. retail median

*LULU's DTC-led margin stack sits 10–14 pts above legacy
wholesale athletic brands*

- **LULU Gross Margin: 56.6%** — premium pricing power and mix discipline [1]
- **Nike Benchmark: ~43%** gross margin — wholesale dependence compresses unit economics [2]
- **Under Armour: ~46%** gross margin — distribution model limits pricing leverage [2]
- **Moat Conclusion:** DTC scale blocks structural margin compression seen at wholesale peers [3]

Links & Sources

- [1] LULUMODEL18.xlsx — gross margin assumptions
- [2] Investing.com — NKE & UA historical gross margins
- [3] ProAnalyst — LULU DTC moat analysis

Price dislocation vs. cash-flow durability and balance-sheet optionality

- **Drawdown Magnitude:** >50% 2026 selloff leaves shares mispriced vs. normalized earnings power [1]
- **Margin Defense:** 54.9% adjusted gross margin on premium DTC mix supports intrinsic value [2]
- **Balance Sheet:** \$1.78B long-term debt vs. \$8.53B total assets — ample strategic flexibility [3]
- **Entry Point:** ~\$100 entry offers asymmetric upside into FY27 margin normalization [1][2]

Links & Sources

- [1] Everything Money — LULU drawdown analysis
- [2] Lululemon Q2 FY2026 release: <https://corporate.lululemon.com/newsroom/press-releases/2026/09-03-2026-210528733>
- [3] GuruFocus — LULU long-term debt & capital lease

Partial margin recovery — not peak COVID profitability — still drives compelling upside

- **Peak Reference:** FY24 EBIT margin peaked at **23.7%** — establishes prior earnings power [1]
- **Trough Assumption:** Model resets FY26 run-rate EBIT to **13.2%** — conservative floor [2]
- **Recovery Path:** FY30 EBIT margin **15.5%** still yields **\$133.64/sh** base case [3]
- **Key Insight:** Full reversion to COVID-era peaks is not required for material upside [3][4]

Links & Sources

- [1] LULUMODEL18.xlsx / SEC FY2024 10-K
- [2] LULUMODEL18.xlsx — clean run-rate EBIT assumptions
- [3] LULUMODEL18.xlsx — base-case DCF summary
- [4] LULUMODEL18.xlsx — DCF valuation output

Top-line bridge relies on China acceleration to offset Americas comp contraction

- **Americas Drag:** FY26 comps **-4.0%**, terminal growth **2.0%** by FY30 [1]
- **China Lever:** FY26 openings skew **+20 China / +8 Americas** with **+14.0%** China comps [2]
- **Revenue Bridge:** International scaling must carry consolidated growth through FY28 [2]
- **Key Risk:** China consumer slowdown breaks core top-line assumptions [3]

Links & Sources

- [1] LULUMODEL18.xlsx — Americas FY26–FY30 comp assumptions
- [2] LULUMODEL18.xlsx — FY26 store openings & China build
- [3] LULUMODEL18.xlsx — revenue drivers schedule

*Bear-case floor defined; buybacks and CapEx discipline compound
EPS recovery*

- **China Downside:** Bear case **\$56/sh** floor; **\$45.64** cumulative cash/sh recovers **45%** of entry [1]
- **CapEx Flex:** Reduced CapEx saves **\$360M/yr**; e-commerce **23.6%** EBIT + **\$101.5M** inventory release [2]
- **Buyback Engine:** Deploying **\$500M** annually into buybacks retires **18.7 million** shares, compounding EPS to **\$13.36** to support our target price of **\$133.64** [3]
- **Upside Sensitivity:** Deploying **75%** UFCF into buybacks retires **28 million** shares, compounding EPS to **\$14.93** to elevate share price to **\$133.64** [3]

Links & Sources

- [1] LULUMODEL18.xlsx — bear-case DCF summary
- [2] LULUMODEL18.xlsx — CapEx & e-commerce EBIT / <https://corporate.lululemon.com/newsroom/press-releases/2026/09-03-2026-210528733>
- [3] LULUMODEL18.xlsx — share repurchase & EPS accretion

Q3 FY26 trough through FY28 re-rating: margin repair, buybacks, and international comp recovery

Q3 FY26 Trough	Revenue laps guidance trough; China Double 11 confirms holiday traffic floor [1]
FY26 Year-End	\$134.5M tariff refunds + SG&A actions protect EPS through reset year [2]
FY27 Inflection	Operating margin to 13.8% (+60 bps); \$500M/yr buybacks compound EPS to \$13.36 by FY30 [3]
FY28 Re-Rating	China comps +12% offset Americas -4%; valuation converges on \$133.64 [4]

Links & Sources

- [1] LULUMODEL18.xlsx — Scenarios & revenue drivers
- [2] LULUMODEL18.xlsx — NOPAT bridge & scenarios
- [3] LULUMODEL18.xlsx — UFCF schedule
- [4] LULUMODEL18.xlsx — DCF valuation summary

Reported history (10-K) vs base-case operating forecast: FY26–30
(US\$ M)

HISTORICALS (FY2022–FY2025) | SEC 10-K

- Net revenue: FY22 \$8,111M → FY25 \$11,103M
- Gross profit: FY22 4,492M → FY25 6,284M
- Operating income: FY22 1,328M → FY25 2,211M
- Operating margin %: FY22 16.4% → FY25 19.9% (peak 23.7% FY24)
- Net income: FY22 855M → FY25 1,579M
- Diluted EPS: FY22 \$6.68 → FY25 \$13.26

FORECAST (FY2026E–FY2030E) | base case (Scenarios col G)

- Net revenue: FY26 10,425M → FY30 11,418M
- Gross profit: FY26 5,901M → FY30 6,463M
- Operating income: FY26 1,511M → FY30 1,770M
- Operating margin %: FY26 14.5% → FY30 15.5%
- Net income: FY26 1,089M → FY30 1,256M
- Diluted EPS: FY26 \$9776.90 → FY30 \$11279.95

US\$ M	22	23	24	25	26	27	28	29	30
Net revenue	8,111	9,619	10,588	11,103	10,425	10,665	10,910	11,161	11,418
Gross profit	4,492	5,609	6,271	6,284	5,901	6,036	6,175	6,317	6,463
Operating income	1,328	2,133	2,506	2,211	1,511	1,469	1,566	1,666	1,770
Operating margin %	16.4%	22.2%	23.7%	19.9%	14.5%	13.8%	14.4%	14.9%	15.5%
Net income	855	1,550	1,815	1,579	1,089	1,056	1,120	1,187	1,256
Diluted EPS (\$)	6.68	12.20	14.64	13.26	9776.90	9484.51	10059.72	10657.96	11279.95
Line item	Hist source (22–25)			Fcst source, Scenarios col G					
Net revenue	10-K IS, Net revenue			Scenarios!G25:G29 (Revenue yr 1–5)					
Gross profit	10-K IS, Gross profit			Scenarios!G25:G29 × Scenarios!G30:G34 (rev × GM%)					
Operating income	10-K IS, Operating income			Scenarios!G45:G49 (EBIT yr 1–5)					
Operating margin %	10-K IS, OI ÷ revenue			Scenarios!G45:G49 ÷ Scenarios!G25:G29					
Net income	10-K IS, Net income			Scenarios!G143:G147 (pitch bridge NI)					
Diluted EPS	10-K IS, Diluted EPS			Scenarios!G183:G187 (pitch bridge EPS)					

All forecast lines: LULU_DCF_Valuation_Model.xlsx → Scenarios tab → pitch deck bridge block (col G). Hist = 10-K. Forecast (26–30) = DCF Scenarios pitch-bridge block, col G (base case only). Per-row model refs shown under line items.

Net-cash history vs base-case funded growth: FY26–30 (US\$ M)

HISTORICALS (FY2022–FY2025) | SEC 10-K

- Cash & equivalents: FY22 1,155M → FY25 1,807M
- Inventories: FY22 1,447M → FY25 1,701M
- Total assets: FY22 5,607M → FY25 8,457M
- Total liabilities: FY22 2,458M → FY25 3,495M
- Total equity: FY22 3,149M → FY25 4,962M
- Funded debt: \$0 across FY22–FY25 (net-cash)

FORECAST (FY2026E–FY2030E) | base case (Scenarios col G)

- Cash & equivalents: FY26 2,393M → FY30 4,497M
- Inventories: FY26 1,585M → FY30 1,681M
- Total assets: FY26 7,941M → FY30 8,697M
- Total liabilities: FY26 3,282M → FY30 3,594M
- Total equity: FY26 4,659M → FY30 5,103M
- Funded debt: \$0 (no term debt in model)

US\$ M	22	23	24	25	26	27	28	29	30
Cash & equivalents	1,155	2,244	1,984	1,807	2,393	2,825	3,317	3,874	4,497
Inventories	1,447	1,324	1,442	1,701	1,585	1,608	1,632	1,657	1,681
Total assets	5,607	7,092	7,603	8,457	7,941	8,124	8,310	8,502	8,697
Total liabilities	2,458	2,860	3,279	3,495	3,282	3,357	3,434	3,513	3,594
Total equity	3,149	4,232	4,324	4,962	4,659	4,766	4,876	4,988	5,103
Funded debt	0	0	0	0	0	0	0	0	0
Line item	Hist source (22–25)				Fcst source, Scenarios col G				
Cash & equivalents	10-K BS, Cash & equivalents				Scenarios!G163:G167 (pitch bridge cash roll-forward)				
Inventories	10-K BS, Inventories				Scenarios!G80:G84 (NWC schedule)				
Total assets	10-K BS, Total assets				Scenarios!G168:G172 (FY25 TA × rev growth)				
Total liabilities	10-K BS, Total liabilities				Scenarios!G173:G177 (FY25 TL × rev growth)				
Total equity	10-K BS, Total equity				Scenarios!G178:G182 (FY25 TE × rev growth)				
Funded debt	10-K BS, Long-term debt (\$0)				Model assumption, \$0 (no term debt)				

BS forecast: Scenarios pitch bridge (cash waterfall + FY25 BS × revenue growth), col G. Hist = 10-K. Forecast (26–30) = DCF Scenarios pitch-bridge block, col G (base case only). Per-row model refs shown under line items.

Operating FCF (DCF input) vs financing: historical 10-K vs base case (US\$ M)

HISTORICALS (FY2022–FY2025) | SEC 10-K

- Cash from operations: FY22 966M → FY25 1,602M
- D&A (add-back): FY22 292M → FY25 496M
- Capital expenditures: FY25 (681) outflow
- Free cash flow: FY25 922M (CFO – capex)
- Share repurchases (CFF): FY25 (1,178) outflow

FORECAST (FY2026E–FY2030E) | base case (Scenarios col G)

- Cash from operations: FY26 1,660M → FY30 1,751M
- D&A (add-back): FY26 469M → FY30 514M
- Capital expenditures: FY26 (573) → FY30 (628)
- Free cash flow: FY26 1,087M → FY30 1,123M
- Share repurchases (CFF): FY26 (500) → FY30 (500)

US\$ M	22	23	24	25	26	27	28	29	30
Cash from operations	966	2,296	2,273	1,602	1,660	1,518	1,593	1,670	1,751
D&A (add-back)	292	379	447	496	469	480	491	502	514
Capital expenditures	(639)	(652)	(689)	(681)	(573)	(587)	(600)	(614)	(628)
Free cash flow	328	1,644	1,583	922	1,087	931	993	1,056	1,123
Share repurchases (CFF)	(444)	(559)	(1,637)	(1,178)	(500)	(500)	(500)	(500)	(500)

Line item	Hist source (22–25)	Fcst source, Scenarios col G
Cash from operations	10-K CF, Operating activities	Scenarios!G148:G152 (pitch bridge CFO)
D&A (add-back)	10-K CF, Depreciation & amortization	Scenarios!G55:G59 (D&A yr 1–5)
Capital expenditures	10-K CF, Capital expenditures	Scenarios!G60:G64 (Capex yr 1–5)
Free cash flow	10-K CF, CFO – capex	Scenarios!G153:G157 (pitch bridge FCF/CFS)
Share repurchases	10-K CF, Repurchases (financing)	Scenarios!G158:G162 (G21=\$500M/yr fixed)

Buybacks: col G = \$500M/yr fixed (Scenarios assumptions). Hist = 10-K. Forecast (26–30) = DCF Scenarios pitch-bridge block, col G (base case only). Per-row model refs shown under line items.

Cap stack and WACC build: lease-adjusted; no funded term debt

CAPITAL STACK (US\$ M)

Component	US\$ M	WACC weight
Market equity (price × shares)	11,138	86.1%
ASC 842 operating lease liabilities	1,798	13.9%
Funded debt (term loans / bonds)	0	0.0%
Total capital (WACC basis)	12,936	100.0%

EV BRIDGE (NOT IN WACC WEIGHTS)

Component	US\$ M	Note
Cash & equivalents	1,807	Added back in EV → equity bridge
Net debt (leases – cash)	-9	Near net-cash; leases in WACC above

No funded bank debt; ASC 842 store leases are the only debt equivalent (~14% WACC weight). Cash \$1,807M exceeds lease debt → net-cash on a funded-debt basis.

WACC BUILD (CAPM)

Input	Value
Risk-free rate (10-yr UST)	4.80%
Equity risk premium	6.00%
Tax rate	30.00%
Beta (relevered; lease adj.)	0.84
Cost of equity (CAPM)	9.86%
Pre-tax Kd (lease-equivalent)	5.00%
After-tax Kd	3.50%
Equity / debt weight	86.1% / 13.9%

β : Yahoo β L 0.86 → unlevered 0.76 @ D/E 0.19 → relever 0.84 @ lease D/E 0.16

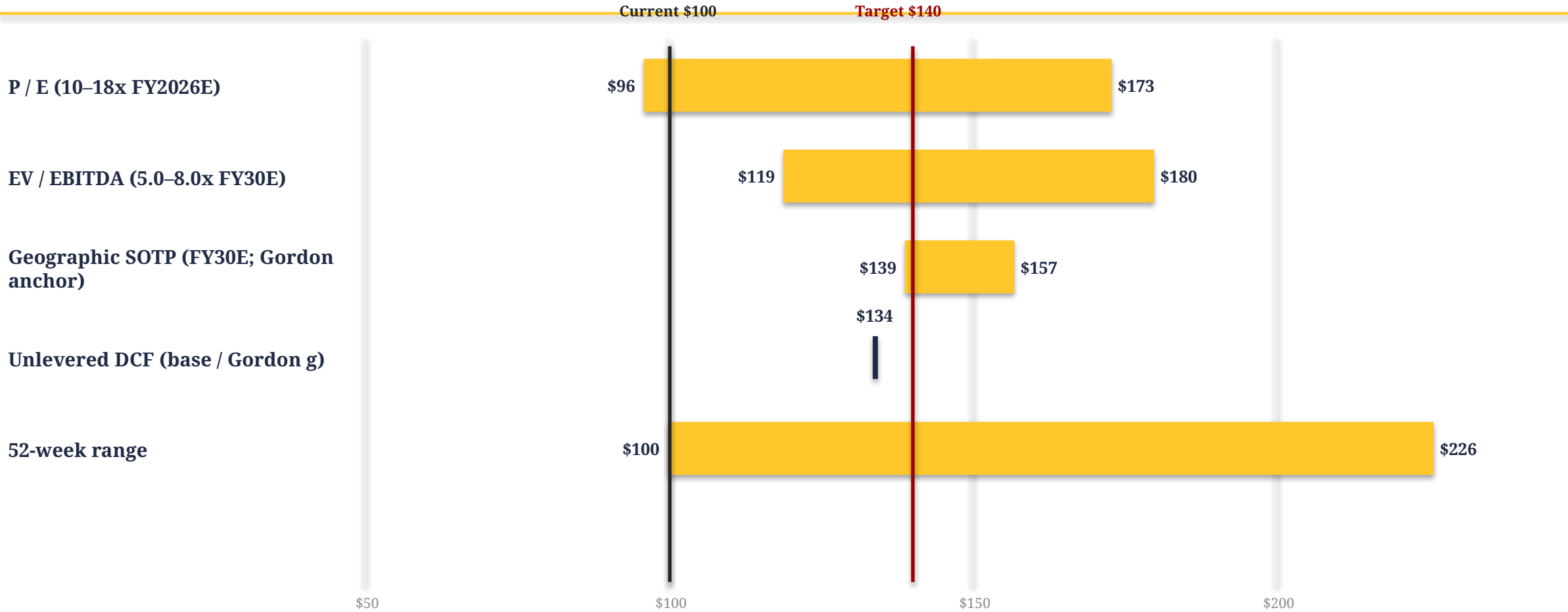
WACC = 8.98%

Base-case discount rate → Scenarios col G · implied price \$134

MODEL SOURCE MAP

Line item	DCF model source (WACC tab, col E)
Market equity	WACC!E10
ASC 842 operating leases	WACC!E11 (FY25 10-K)
Funded debt	WACC!E13
Total capital	WACC!E14
Cash & equivalents	10-K BS, Cash
Net debt	DCF EV bridge
Risk-free rate	WACC!E3
Equity risk premium	WACC!E4
Tax rate	WACC!E5

Football field: implied share-price ranges by methodology (base case DCF)



12-month target \$140 sits above base-case DCF \$134 and inside the comps/SOTP ranges: a partial re-rating, not a return to peak multiples.

DCF row = Scenarios col G (Gordon growth). Bear \$56 / bull \$202 bracket scenario range from the model.

Geographic segments on FY30E base revenue: EV/EBITDA spreads
vs Gordon-implied exit (7.4x)

Segment	FY30E rev	EBITDA %	FY30E EBITDA	EV/EBITDA	Segment EV (\$M)
Americas	8,070	16.5%	1,551	6.4x–7.1x	9,924–11,010
China Mainland	1,805	19.5%	410	7.9x–9.4x	3,238–3,852
Rest of World	1,543	18.0%	324	7.1x–8.1x	2,297–2,621
Total segment EV	11,418		2,284	6.8x–7.7x	15,459–17,483
Corporate / HQ (no separate carve-out)				n/a	\$0
+ Cash / – lease debt (EV bridge)				n/a	+1,807 / –1,798
Implied equity value / share				n/a	\$139–\$157

Methodology

- Single-brand retailer: geography is the cleanest SOTP cut (Americas / China / RoW per 10-K)
- FY30E segment revenue = FY25 geo mix × base-case consolidated FY30 revenue (Scenarios col G)
- Segment EV/EBITDA spreads anchor to Gordon-implied exit 7.4x (selected DCF TV identity: not the 5–8x comps football-field band)
- Americas: Gordon – 1.0x to – 0.25x (mature); China: +0.5x to +2.0x (growth); RoW: –0.25x to +0.75x
- Consolidated base-case DCF \$134 uses Gordon growth (g=2.25%); SOTP is terminal-year EBITDA triangulation only

SOTP vs DCF

SOTP range: \$139–\$157

Base-case DCF: \$134

Overlap is expected: SOTP applies FY30 EBITDA multiples; DCF discounts explicit FCF + Gordon growth TV.

Base-case unlevered DCF (Scenarios col G): Gordon growth terminal value; 7.4x is implied exit identity

BASE-CASE ASSUMPTIONS (SCENARIOS COL G)

Assumption	Value
FY2026 revenue growth	-6.1%
FY2027–30 revenue growth (avg)	+2.3%
Clean EBIT margin (FY26 run-rate)	13.2%
Terminal EBIT margin (FY2030E)	15.5%
FY26 tariff refunds (one-time)	\$134.5M
Cash tax rate	30%
Capex % of revenue	5.5%
WACC	9.0%
Terminal growth (g)	2.25%
Gordon-implied exit EV/EBITDA (identity)	7.4x

TERMINAL VALUE | GORDON GROWTH (SELECTED)

Method	Formula / input	FY30 TV (\$M)
Gordon growth (selected)	$FCF_5 \times (1+g) / (WACC-g)$; $g=2.25\%$	16,804
Exit multiple (identity check)	$FY30\ EBITDA \times 7.4x = \text{Gordon TV} \div \text{EBITDA (same number)}$	16,804

SENSITIVITY | IMPLIED SHARE PRICE (WACC vs TERMINAL g)

WACC \ g	1.5%	2.0%	2.25%	2.5%	3.0%
9.5%	\$115	\$121	\$124	\$127	\$135
10.0%	\$108	\$113	\$116	\$119	\$125
10.5%	\$102	\$106	\$109	\$111	\$117
11.0%	\$97	\$100	\$103	\$105	\$110
11.5%	\$92	\$95	\$97	\$99	\$103

VALUATION OUTPUT (US\$ M)

PV of explicit FCF (FY26–FY30) **3,944**
PV of terminal value **10,933**
Enterprise value 14,876
Plus: cash **1,807**
Less: lease debt (ASC 842) **(1,798)**
Equity value 14,885
÷ Diluted shares (M) **111.4**

Implied value: \$134 / share

TV = 73% of EV · 7.4x = Gordon TV ÷ FY30 EBITDA \$2,284M (not a peer pick)
Selected TV is Gordon growth (g). The 7.4x exit multiple is the identity check (TV ÷ FY30 EBITDA), not a peer average.

Base-case cell

WACC 9.0% × g 2.25% → \$134. Grid brackets ±100bps WACC and 1.5–3.0% g.

Implied LULU valuation from PitchBook core athletic / apparel set (04-Sep-2026)

COMPARABLE COMPANIES | TRADING MULTIPLES

Company	EV/Rev	EV/EBITDA	EV/EBIT	P/E
adidas	1.51x	9.2x	18.6x	19.1x
Nike	1.27x	12.7x	15.9x	18.3x
Deckers	2.47x	7.9x	9.8x	12.1x
Crocs	1.74x	7.8x	7.8x	10.3x
Levi Strauss	1.52x	9.6x	18.1x	15.0x
Kontoor	2.01x	12.8x	15.4x	18.0x
Core median (ex-LULU)	1.63x	9.4x	15.7x	16.5x
LULU @ \$100 (current)	1.07x	4.7x	5.0x	10.4x

IMPLIED LULU VALUATION (CORE PEER MEDIAN)

Metric	Peer med.	LULU base	Implied px
EV / Revenue	1.63x	\$10,425M	\$119-\$231 (med \$153)
EV / EBITDA	9.4x	\$2,707M	\$190-\$311 (med \$229)
EV / EBIT	15.7x	\$2,211M	\$155-\$369 (med \$311)
P / E	16.5x	\$9.61	\$99-\$183 (med \$158)

Peer benchmark methodology

Core peer set (NKE, ADS, DECK, CROX, LEVI, KTB) evaluates relative valuation using PitchBook data (04-Sep-2026). Implied equity = peer median × LULU base → EV, then + cash – ASC 842 lease debt ÷ shares.

Implied EV = peer median × LULU base (cols 2–3); P/E = median × EPS (no EV). EV + cash – lease debt ÷ shares = equity/sh.

Multiples confirm severe undervaluation

LULU trades at 1.07x EV/Revenue, 4.7x EV/EBITDA (PitchBook TTM), and 10.4x forward P/E vs core peer medians of 1.63x EV/Revenue, 9.4x EV/EBITDA, and 16.5x P/E.

DCF terminal valuation discount

Base-case DCF uses Gordon growth $g = 2.25\%$, implying 7.4x FY30 EV/EBITDA exit multiple: well below the 9.4x peer median (right table uses TTM EBITDA).

Conservative target price re-rating

Our \$134 base-case DCF and \$140 12-month target (+6 vs DCF, ~4% above model fair value) reflect undervaluation with only a modest re-rating: not Nike-level multiples.

Investment Research Division
lululemon athletica (NASDAQ: LULU)

Private-market context for athleisure M&A: not used to imply a control premium on LULU

Precedent Transactions

Target	Year	Type	EV (\$M)	EV/Rev	EV/EBITDA	Status
Sweaty Betty	2021	Closed acquisition	410	1.6x	16.0x	Closed Aug-2021; ~16x FY21E EBITDA
Gymshark	2020	Minority growth round	1,300	5.0x	n/a	Closed Aug-2020; \$1.3bn EV (minority)
Vuori	2021	Growth investment	4,000	n/a	n/a	Closed Oct-2021; \$4bn post-money
Alo Yoga (Color Image)	2023	Unclosed sale process	10,000	5.0x	n/a	Unclosed; no deal per Reuters Jun-2026
LULU (public @ \$100)	n/a	Public equity	11,129	1.07x	4.7x	Trading comps only (not a premium benchmark)

Private precedent framework

Non-Alo private transactions establish a contextual floor of what strategics and PE pay for premium athleisure. They do not imply a control premium on LULU's public stock.

Closed M&A benchmark

Wolverine paid \$410M (~16x EBITDA, ~1.6x sales) for Sweaty Betty (2021), a concrete operating-company precedent for women's DTC activewear.

Growth capital rounds

Gymshark (\$1.3B implied EV, 2020 minority stake) and Vuori (\$4B post-money, 2021) show institutional demand and realistic baselines for premium DTC brands.

Excluded unclosed process

Alo's ~\$10B ask (~5.0x EV/Sales) is LULU's closest yoga peer, but unclosed private asks cannot dictate actual public equity valuation.

Valuation stack

DCF base: \$134 | Target: \$140

Comps median EV/EBITDA 9.4x → ~\$229/sh

Reasonably assumed ceiling from peer EV/EBITDA re-rating. Not our price target.